PAPER – 2: BUSINESS LAWS

QUESTIONS

Indian Regulatory Framework

1. Describe the major functions of the Reserve Bank of India (RBI) in regulating the Indian economy. How does it manage currency, payment systems and economic development?

The Indian Contract Act, 1872

2. Mr. Naman is an auctioneer. He advertised in a leading newspaper that an auction would be held on 17th April, 2025, in Agra for the sale of some office furniture. Mr. Kanha read the advertisement and travelled about 500 kilometres to attend the auction. When he reached the place of the auction, he found that the furniture had been withdrawn from the sale. Mr. Kanha sued Mr. Naman for the loss of his time and expenses.

   State, with reasons, whether Mr. Kanha can claim compensation from Mr. Naman under the provisions of the Indian Contract Act, 1872.

3. Abhimanyu, a businessman, lost his important documents at a crowded railway station. Ramesh, a passerby, voluntarily collected the documents and returned them safely to Abhimanyu without expecting any reward. A week later, impressed by Ramesh's honesty, Abhimanyu wrote and signed a promise to pay him ₹50,000 as a reward. Later, Abhimanyu refused to pay, arguing that the act had already been performed voluntarily and therefore did not constitute valid consideration. Ramesh filed a case claiming that the promise was binding. Decide, under the Indian Contract Act, 1872, whether Abhimanyu is liable to pay.

4. Vikas, a businessman from Delhi, entered into an agreement with Reddy, a trader from Hyderabad, to smuggle a large consignment of gold into India in violation of customs laws. As per the terms, Reddy would arrange the smuggling operation, while Vikas promised to provide financial support and safe storage facilities. Both agreed to share the profits equally. The agreement also stated that Reddy would invest a portion of his profit in Vikas's legitimate textile business, which was a lawful activity.

   After the first successful operation, a dispute arose between the parties. Vikas received the smuggled gold but refused to share the profits, arguing that the agreement was unlawful. Reddy filed a suit for enforcement, claiming that at least the lawful portion of the agreement relating to the textile business should be upheld. Decide whether the agreement is enforceable under the Indian Contract Act, 1872?

5. Mr. Lal, a well-known builder, entered into a contract with Mr. Kumar, a property developer, to construct a large shopping mall in Jaipur for a total consideration of ₹ 10 crores, to be completed within 18 months. After the work began, both parties mutually decided to alter the nature of their agreement. By mutual consent, a new contract was substituted, under which Mr. Lal would instead construct a five-star luxury hotel on the same land for an increased price of ₹12 crores. This new agreement expressly cancelled the earlier mall contract.

   However, six months after the new agreement was executed, the State Government, under its Urban Development Policy, passed a law prohibiting the construction of hotels in that particular commercial zone, though the construction of shopping malls was still permitted. Due to this prohibition, Mr. Lal stopped the construction work and informed Mr. Kumar that the contract had become impossible to perform. Mr. Kumar, however, filed a suit against Mr. Lal for breach of the new contract, demanding damages on the ground that Mr. Lal had failed to perform his obligation.

   Decide, under the provisions of the Indian Contract Act, 1872, whether Mr. Lal is liable for breach of contract or whether the contract has become void due to impossibility.

6. Mr. Ramesh delivered his gold ornaments to a jeweller, Mr. Arun, for polishing. Arun kept the ornaments in the locker of his shop and locked the premises before leaving. Unfortunately, during the night, some thieves broke into the shop and stole the ornaments. When Ramesh asked for the return of his ornaments, Arun expressed his inability and stated that he had taken as much care of the goods as he would have taken of his own property. Ramesh, however, claimed compensation for the loss on the ground that the ornaments were delivered under a contract of bailment and that the bailee was bound to return them.

   Decide, under the provisions of the Indian Contract Act, 1872, whether Arun is liable to compensate Ramesh.

7. Discuss in detail the rules governing the enforcement of contingent contracts under the Indian Contract Act, 1872.

8. "An agency may be terminated by act of parties or by operation of law." Explain this statement and discuss the circumstances under which an agency stands terminated.

9. Discuss the essential conditions that must be fulfilled for a valid contract of guarantee under the Indian Contract Act, 1872.

The Sale of Goods Act, 1930

10. Classify the following transactions according to the types of goods they are:

    (i) A wholesaler of cotton has 100 bales in his godown. He agrees to sell 50 bales and these bales were selected and set aside.

    (ii) A agrees to sell to B one packet of sugar out of the lot of one hundred packets lying in his shop.

    (iii) T agrees to sell to S all the apples which will be produced in his garden this year.

11. Mr. Rahul, a wholesale trader in Delhi, placed an order with Mr. Kapil, a textile merchant, for 50 rolls of "premium silk cloth" at an agreed price. It was clearly mentioned that the cloth should be of premium-quality silk and suitable for manufacturing wedding garments. Mr. Kapil delivered the goods on the scheduled date. On a casual examination at the time of delivery, the rolls appeared to be fine, so Rahul accepted them.

However, later, while cutting and using the cloth for tailoring, it was discovered that the rolls contained a mixture of synthetic fibers and had hidden defects such as small holes and stains. These defects made the cloth unfit for making wedding garments, causing heavy losses to Rahul. When Rahul demanded a refund, Kapil refused, contending that Rahul had already inspected the goods and accepted delivery.

State, with reasons, whether Rahul can reject the goods and recover the price under the Sale of Goods Act, 1930.

12. Mr. Varun, a laptop distributor, delivered 20 laptops to his friend Mr. Rohit on the condition of "sale on approval or return within 10 days." Rohit neither returned the laptops within the stipulated period nor informed Varun of any rejection. Instead, he kept the laptops in his office showroom and sold 5 of them to Mr. Anuj, claiming to be the absolute owner. Anuj purchased the laptops in good faith, paid full consideration, and even issued a receipt.

    After 15 days, Varun demanded the return of all the laptops, including those sold to Anuj. Rohit refused, arguing that he had acted as the owner. Anuj also defended himself, claiming that he was a bona fide purchaser for value. Varun, however, relied on the principle that "no one can transfer a better title than he himself has."

    Decide, under the Sale of Goods Act, 1930, whether Anuj has acquired a valid title and whether Varun can recover the goods.

13. Discuss the rights of the buyer against the seller when the seller commits a breach of contract under the Sale of Goods Act, 1930.

14. Explain the rule relating to the passing of property in specific or ascertained goods under Section 19 of the Sale of Goods Act, 1930. How is the intention of the parties as to the passing of property ascertained?

The Indian Partnership Act, 1932

15. Mr. Arun and Mr. Varun are brothers employed in a private company in Delhi. Out of their joint savings, they purchased a plot of land in Noida and constructed five commercial shops on it. These shops were later rented out to different tenants. It was mutually agreed that both would

equally share the monthly rent received. They also decided to contribute jointly towards property tax and repair expenses.

In March 2025, one tenant defaulted in paying rent of ₹50,000. Varun claimed the entire arrears from Arun, stating that both were "partners" in the property business and, hence, Arun, being one of the partners, was liable for the whole amount. Arun, however, refused and argued that they were not partners but only co-owners; therefore, he was not liable to pay Varun's share of the defaulted rent.

Decide, with reasons, whether Arun and Varun can be regarded as partners under the Indian Partnership Act, 1932.

16. M, N, and O were partners in a firm engaged in the transport business. Over time, N became mentally unsound and was incapable of managing the firm's affairs. O alleged that M was continuously guilty of misconduct and was misappropriating the firm's funds. Due to repeated disputes and loss of trust, O filed a petition in Court seeking dissolution of the firm. After the court ordered dissolution, M claimed that he still had the right to use the firm's trucks and vehicles for his personal business. Explain whether contention of M is correct.

17. Explain the rights of a transferee of a partner's interest under the Indian Partnership Act, 1932. How do these rights differ from those of an original partner?

The Limited Liability Partnership Act, 2008

18. Explain the provisions relating to the change of name of a Limited Liability Partnership (LLP) under the LLP Act, 2008.

The Companies Act, 2013

19. Sunrise Infrastructure Ltd. was incorporated with the object of developing residential housing projects as specified in its Memorandum of Association. The Board of Directors decided to invest a substantial part of the company's funds in speculative trading of shares of other companies, hoping to earn quick profits. When the shareholders questioned this act, the directors argued that since the company was duly incorporated and had wide powers of management, their decision

was valid. Examine, with reference to the doctrine of ultra vires, whether the directors' action is binding on the company.

20. Bharat Infrastructure Ltd. was incorporated in India with 55% of its paid-up share capital held by the Central Government, 20% by a State Government, and the remaining 25% by private investors. Some private shareholders argued that government control was not absolute and therefore the company should not be classified as a Government Company. Decide with reference to the Companies Act, 2013.

21. Can a non-profit organization be registered as a company under the Companies Act, 2013? If so, what procedure does it have to adopt?

The Negotiable Instruments Act, 1881

22. Mr. Anil drew a bill of exchange in Kolkata on Mr. Bimal, a resident of New York, and made it payable in Delhi. On maturity, the bill was dishonoured, and Anil sued Bimal in India claiming interest at the rate of 18% as applicable in Kolkata. Bimal contended that his liability was governed by New York law, where the rate of interest was only 6%. Decide the liability of Bimal with reference to the provisions of the Negotiable Instruments Act, 1881.

23. Define the following Instruments under the Negotiable Instruments Act, 1881:

    (i) Bearer Instruments

    (ii) Order Instruments

    (iii) Inland Instruments

    (iv) Foreign Instruments